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The Memory Floor: Why Apple's CXMT Gambit Shows Micron, Samsung, and SK hynix Still Hold the Edge

> Apple is lobbying Washington to buy DRAM from a Chinese chipmaker named on the Pentagon's 1260H list. Most read it as a sourcing story. As a Micron holder, I read it as confirmation that in the AI era, the companies that make memory — Micron, Samsung, SK hynix — may still hold the edge.

The Memory Floor

Why Apple's CXMT Gambit Shows Micron, Samsung, and SK hynix Still Hold the Edge

> **About this report.** This is independent, educational analysis written by an active investor who holds a position in Micron (MU) and manages a real portfolio based on this research. It is not investment advice or a recommendation to buy or sell any security. The bull case below is deliberately balanced with the bear case and risks. > > **Disclosure:** I hold a position in Micron (MU). I'm telling you that up front because this report argues a thesis that benefits a stock I own — and you should weigh every word with that in mind. That's also exactly why I've worked to state the bear case as honestly as the bull case.

When Apple goes to the U.S. government and asks for permission to buy memory from a company named on the Pentagon's Section 1260H list of Chinese military companies, that is not a routine procurement decision.

That is a tell.

The most valuable company in consumer technology — one of the most sophisticated procurement organizations on earth — is signaling that it can no longer comfortably control the price of one of its own inputs. And it's willing to take real political risk to try.

I've held Micron through this thesis because I believe a simple idea that the AI era is now proving in real time: **in a world drowning in intelligence, the scarce thing is the ability to make the physical substrate that intelligence runs on.** Models are becoming abundant. Compute is being built at trillion-dollar scale. But the high-bandwidth memory, server DRAM, and enterprise storage that feed it cannot be conjured from software. Someone has to fabricate it. And right now, very few companies can.

Apple's CXMT gambit is what it looks like when the buyer realizes the maker has the power.

This is not a recommendation to buy Micron or sell Apple. It is a relative-value framework for reading a market where the old rules — buyer scale wins — may have quietly inverted.

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1. The Setup: Apple Is Using CXMT as a Weapon, Not a Supplier

Apple rarely introduces a new supplier conversation by accident. When it signals interest in a cheaper alternative, the message to its incumbents is unmistakable: *your pricing power can be challenged.*

That's the right way to read the CXMT story. Apple is reportedly lobbying the Commerce Department and the Trump administration for clearance to source DRAM from ChangXin Memory Technologies — a Chinese chipmaker named on the Pentagon's Section 1260H list of companies with alleged ties to the People's Liberation Army. Reporting from the Financial Times and Bloomberg, citing people familiar with the talks, frames it plainly: Apple wants a lower-cost lever against its existing memory vendors — Micron, Samsung, and SK hynix.

The pressure is not abstract. In late June 2026, Apple reportedly raised Mac and iPad prices, with multiple reports tying the increases to rising memory and storage costs — and the stock absorbed notable market-value pressure as investors weighed the margin implications. In press commentary around the same period, CEO Tim Cook signaled openness to broadening Apple's supplier base if conditions allowed. CXMT and its NAND counterpart YMTC have reportedly offered discounts versus incumbent pricing.

So the move makes sense — as a negotiating posture. The question is whether the threat is *credible*. And here's where the AI era changes everything.

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2. The Inversion: In Past Cycles Apple Had the Power. Not This One.

For most of the modern memory era, the logic ran one direction: Apple's scale was the prize. Suppliers wanted its volume, its visibility, its design wins. That gave Apple leverage to push prices down every cycle.

The AI build-out inverted that hierarchy.

Memory is no longer a commodity casually shopped quarter to quarter. It has become a strategic input that the most important customers on earth are locking up *in advance.* The clearest proof came just days before this report: on June 22, 2026, **Micron and Anthropic announced a strategic agreement to scale next-generation**

AI infrastructure. Sit with that. An AI lab signing directly with a memory maker to secure supply is not how commodities behave. It's how strategic resources behave.

When the buyers of memory are hyperscalers, AI accelerator vendors, sovereign-AI projects, and server OEMs — all competing for the same constrained wafer capacity — Apple is no longer the most important customer in the room. It's *one* customer. And it's a customer whose products (phones, tablets, laptops) compete for capacity against data-center memory that now commands premium pricing and multi-year allocation.

That is the whole game. Apple's traditional threat — "I'll go elsewhere" — only works if elsewhere exists and matters. In 2026, the suppliers can answer: *we have other customers, and they're paying more.*

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3. The Numbers Behind the Power Shift

I don't ask you to take the thesis on narrative. The numbers carry it.

Micron's fiscal Q3 2026 (reported June 24) was not a normal quarter. Revenue of **$41.5 billion**, up **346% year over year** and 74% sequentially — the largest sequential dollar increase in company history. GAAP gross margin near **85%**, a figure that does not belong to a commodity business losing pricing power. Non-GAAP EPS of **$25.11**. Data-center revenue alone exceeded $25 billion in the quarter — an annualized run-rate over $100 billion. And the Q4 guide: **~$50 billion in revenue, ~86% gross margin.**

Read those margins again. An 85% gross margin in memory — historically one of the most brutally cyclical, commoditized businesses in technology — is the financial signature of scarcity. It is what it looks like when demand structurally exceeds the world's ability to make the product.

Micron itself said new fabs won't deliver meaningful output until fiscal 2028. The shortage has a runway.

This is the context Apple is walking into. It is trying to negotiate a discount from suppliers who just posted record-shattering margins and are telling the market the tightness lasts for years.

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4. Why Washington Makes the Threat Even Weaker

Even setting aside scarcity, Apple's CXMT card has a structural flaw: it's politically difficult and reputationally sensitive.

CXMT is currently named on the Pentagon's June 2026 Section 1260H list. That designation does not automatically ban U.S. companies from buying its products, but it creates reputational, political, and compliance risk — and it is widely read as a flag that can precede harder restrictions. The sharper risk is the *Commerce Department's Entity List*: placement there would force Apple's suppliers to obtain export licenses that are, in practice, likely to be denied. Apple isn't just asking permission to buy; it's reportedly seeking assurance that the rug won't be pulled later.

A U.S. flagship company lobbying to buy memory from a company named on the Pentagon's Chinese-military-company list is not a quiet procurement footnote. It has reportedly already drawn criticism from members of Congress. The optics are poor, the approval path is slow, and the assurance Apple wants —

protection from future escalation — is precisely the kind of thing Washington is least able to credibly promise in a U.S.–China tech standoff.

A supplier threat only works if the alternative is real. Regulatory overhang makes CXMT a weaker card than Apple would like.

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5. The YMTC Precedent: Apple Has Run This Play Before — and Lost

This isn't Apple's first attempt to use a Chinese memory maker as leverage. In 2022, it planned to use YMTC NAND in iPhones, starting with China-market devices. Then U.S. export controls tightened, and Apple froze the plan. It walked back to its incumbent vendors.

That episode taught two lessons at once. Apple *will* explore Chinese memory when incumbent pricing hurts. And Washington *can* turn that option into a liability overnight.

But the CXMT version is harder, because the stakes are higher. YMTC was a NAND story. CXMT is a **DRAM** story — and DRAM is now wired directly into HBM allocation, server memory, and sovereign-tech competition. Apple is running a 2022 playbook in a 2026 market where the board has been flipped.

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6. The Honest Bear Case (Why I Could Be Wrong)

I own Micron. So I owe you the strongest version of the case against my own position.

The halo of Chinese supply could be real, eventually. CXMT is not a paper competitor. It is reportedly pursuing one of the largest IPOs on China's STAR Market (reported at roughly ¥29.5B / ~$4.33B) and describes itself as China's most advanced DRAM developer. Over a 2027–2028 horizon, it could become a genuine global supplier and pressure the oligopoly. Long-term competitive risk is real.

Approval could come narrowly and fast. If Washington grants Apple a limited green light and CXMT qualifies faster than expected, it could create marginal pricing pressure — especially on lower-end or China-specific devices.

The cycle is still a cycle. Memory has always been cyclical. Record margins invite capacity. If every supplier races to build, 2028's supply could break today's pricing. An 85% gross margin is not a law of nature — it's a moment of scarcity, and scarcity ends.

Demand destruction is real. If Apple, PC OEMs, and phone makers keep passing memory inflation to consumers, demand could soften. That wouldn't fix AI-driven shortages, but it could cool the consumer-memory segment.

And the cleanest caveat: this report argues memory *makers* hold the stronger hand than the market's framing of Apple's leverage suggests. It does not argue Micron is cheap in absolute terms after a 700% run and a $1T+ market cap. Relative power is not the same as absolute value. I hold it because I believe the structural story has a multi-year runway — but I size the position knowing the cycle can turn.

7. What This Means for the Makers

For **Micron**, Apple's gambit looks bearish on the surface — a customer hunting alternatives. Read correctly, it's the opposite. When one of the best procurement teams on earth has to lobby Washington to escape your pricing, that is a confession of *your* strength, not your weakness. Record Q3, ~$50B Q4 guide, and a direct Anthropic agreement say the same thing: AI made memory demand durable, strategic, and visible.

For **SK hynix**, the story reinforces its HBM leadership — it has become one of the cleanest beneficiaries of the AI memory cycle, with Q1 2026 strength in HBM, high-capacity server DRAM, and enterprise SSDs.

For **Samsung**, it's more nuanced — questions around HBM execution remain — but it's still one of the world's essential memory suppliers, pointing to AI-driven demand and an AI-product-centered strategy.

The common thread: Apple's sourcing pressure doesn't break the cycle. **It validates it.**

8. The Frame: Who Holds the Power When Intelligence Is Abundant?

Strip away the headlines and this is a story about where power sits in the AI economy.

The dominant narrative says the winners are the model labs and the chip designers — the ones building intelligence. That's partly right. But intelligence is becoming abundant, and abundance doesn't command premium pricing. The thing that stays scarce is the *physical capacity to make what intelligence runs on.* You cannot software your way to a DRAM wafer. You cannot prompt a fab into existence. Someone has to build it — at the cost of tens of billions, over years, with a handful of companies on earth capable of doing it well.

That's the floor under this thesis. Apple — the company that mastered designing products and outsourcing their manufacture — is running into the limit of that model.

To be clear: Apple still has enormous procurement power. The point is not that Apple has become weak. The point is that the memory market has become strong enough to challenge even Apple's normal playbook. When the input is scarce and strategic, the maker sets the terms.

I hold Micron because I believe the market is still underpricing the strategic value of the memory layer — that the physical layer may prove more durable than the old commodity-cycle framework suggests. That does not eliminate cycle risk, and I size the position accordingly.

What to Watch

The thesis lives or dies on trackable signals, not vibes:

• Micron's revenue against the ~$50B Q4 guide, and whether ~85% margins hold

• Whether Washington grants Apple any CXMT clearance — and how narrow

• CXMT's qualification speed and real Apple-scale volume (not demos)

• New-fab output timing (Micron says meaningful supply not until FY2028)

• HBM allocation between SK hynix, Samsung, Micron

• Whether consumer price hikes trigger demand destruction

• Further AI-lab/maker supply agreements like Micron–Anthropic

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Bottom Line

Apple's CXMT move is not the beginning of the end for Micron, Samsung, or SK hynix. It's evidence the memory cycle has shifted toward the makers.

In past cycles, Apple used alternative suppliers as leverage. This time the alternative is politically sensitive, supply-constrained, and slow to scale — while the incumbents hold something they didn't always have: AI-driven demand that is large, strategic, and willing to pay for guaranteed capacity.

Apple is trying to regain bargaining power. But in the 2026 memory supercycle, the companies that *make* the memory may be the ones holding the stronger hand.

I've positioned accordingly. The gap between that reality and the market's "Apple has leverage" framing is the signal.

Brutal Edge — Frameworks over forecasts. Signal over noise.

> **Disclosure & Disclaimer.** The author holds a position in Micron (MU). This report is for educational and informational purposes only and does not constitute investment advice, a recommendation to buy or sell any security, or an offer to transact in any financial instrument. Memory and semiconductor stocks are cyclical and volatile; a high-margin moment is not a permanent state. Conduct your own due diligence and consult a qualified financial professional before making investment decisions.

Sources & Methodology

Data as of: June 30, 2026

• Apple / CXMT lobbying — Financial Times, Bloomberg, Reuters (June 26–27, 2026)

• Pentagon Section 1260H list (June 2026) — names CXMT (media.defense.gov)

• Micron FQ3 2026 results — revenue $41.5B (+346% YoY), GAAP gross margin ~85%, non-GAAP EPS $25.11, data-center revenue >$25B, FQ4 guide ~$50B / ~86% margin (investors.micron.com, June 24 2026; Q3 earnings call remarks)

• Micron–Anthropic strategic agreement (June 22, 2026)

• SK hynix Q1 2026 results — AI/HBM demand (news.skhynix.com)

• Samsung Q1 2026 results (news.samsung.com)

• Tim Cook — reported press commentary on broadening suppliers

• Apple Mac/iPad price increases reportedly tied to memory/storage inflation (June 2026)

• CXMT STAR Market IPO (reported ~¥29.5B / ~$4.33B) — Global Times, prospectus

Framework: Brutal Edge Analysis Framework (BEAF). The question is not whether CXMT can make DRAM — it can — but whether it can change incumbent pricing power at Apple scale, under current political and supply constraints, fast enough to matter.